

PHASE 1: PROBLEM FREEZING & SCOPE CONTROL

Agesta – AI-Generated Smart Tax Assistant (India-Friendly)

Team Name: AgestaX

1. Final Problem Statement

In India, taxpayers are required to choose between the **Old Tax Regime** and the **New Tax Regime** while filing income tax returns. Many salaried employees, freelancers, and small business owners find it difficult to understand the differences between these two regimes. The old regime allows deductions such as 80C, 80D, HRA, and standard deduction, while the new regime offers lower tax rates with limited deductions. Due to this complexity, users are often confused about which regime is more beneficial.

Most taxpayers depend on manual calculations, spreadsheets, or tax consultants to compare both regimes. This process is time-consuming, costly, and prone to errors. Many users end up selecting the wrong regime, leading to higher tax payments or missed tax-saving opportunities. Existing tools do not clearly explain the comparison results.

Another issue is that tax reports and calculation records are stored in PDFs or paper format, which can be lost or altered. This creates problems during audits or future reference due to the lack of secure storage.

To address these issues, **Agesta** is proposed as an AI-generated smart tax assistant that calculates tax under both old and new regimes, compares them, recommends the better option, and securely stores tax summaries using blockchain technology to ensure transparency and data integrity.

2. Who Is Affected? (Users)

Taxpayer (End User)

- Salaried employees, freelancers, and self-employed individuals
- Confused about choosing the correct tax regime
- Want legal tax savings
- Require secure tax record storage

Admin

- Manages user accounts
- Monitors tax comparisons

- Ensures secure system operation

3. What Exact Problem Are You Solving?

This project solves the following problems:

- Accept user income and expense details
- Calculate tax under old and new regimes
- Apply basic deductions under old regime
- Compare both regimes and recommend the better option
- Explain results in simple language
- Store tax summaries securely using blockchain

4. What You Are NOT Solving (Scope Limitation)

To keep the scope controlled, the following features are not included:

- Direct filing to government portals
- Automatic bank or PAN integration
- Coverage of all tax sections
- Advanced investment planning
- International tax systems

Scope Summary

Included in Scope	Excluded from Scope
Old and New tax regime comparison	Government portal filing
Basic deductions (80C, 80D, HRA)	Bank/PAN integration
AI-based regime recommendation	Advanced tax planning
Blockchain tax record storage	International taxation
Simple tax summary report	Legal certification

Academic Note

The scope of this project is intentionally limited to ensure clarity and feasibility within an academic timeline. The project focuses on helping Indian taxpayers choose the best tax regime using Artificial Intelligence and ensures secure storage of tax records using Blockchain technology.